

11-6b Competitive Strategy versus Antitrust Policy

Managers deploy strategy to lead their firms to compete. But antitrust officials sometimes get in the way (see [Figure 11.5](#)). Most business school students do not study antitrust policy. When they graduate and become managers, they do not care about it either. Antitrust officials, on the other hand, tend to study economics and law. A background in economics and law, however, does not give antitrust officials an intimate understanding of how firm-level competition and/or cooperation unfolds, which is something that a business school education provides. These officials often believe that in the absence of government intervention (specifically, antitrust action), competitive advantage of large firms will last forever and that monopoly will prevail. Managers know better: given rapid technological changes, ambitious new entrants, and strong global competition, no competitive advantage lasts forever (see Chapter 4). It is possible that none of the antitrust officials has ever studied a global business textbook like this one. But officials with such a static and unrealistic view of the sustainability of competitive advantage end up enforcing the rules governing competition. Such a disconnect naturally breeds suspicion and frustration on both sides. Business school students and managers will be better off if they arm themselves with knowledge about antitrust concerns and engage in intelligent conversations and debates with officials and policy makers.

Figure 11.5

Confusion Stemming from Antitrust Enforcement

Anarchy In Your Head

Because the United States has the world's oldest antitrust frameworks (dating back to the 1890 Sherman Act), the US debate is the most watched in the world, and so is the focus here. Rather than adopting a US-centric approach, here we treat the US debate as a *case study* that may have global ramifications. In fact, antitrust issues, which originated from a domestic orientation, have been globalized recently.

On behalf of managers, concerned management scholars have made four arguments. First, antitrust laws were often created in response to the old realities of mostly domestic competition—the year 1890 for the Sherman Act is *not* a typo of 1990. However, the largely global competition today means that a large, dominant firm in one country (think of Boeing) does not automatically translate into a dangerous monopoly. The existence of foreign rivals (such as Airbus) forces the large domestic incumbent to be more competitive.

Second, the very actions accused of being “anticompetitive” may actually be highly “competitive” or “hypercompetitive.” In the 1990s, the hypercompetitive Microsoft was charged with “anticompetitive” behavior. Its alleged crime? *Not* voluntarily helping its competitors. It is puzzling why Microsoft should have voluntarily helped its competitors. Just imagine: If your managers were to ask you to voluntarily help your firm's competitors, would you just do it or think that your managers were out of their mind?

Third, US antitrust laws create strategic confusion (see [Figure 11.5](#)). Because the intention to destroy your firm's rivals is the smoking gun of antitrust cases, managers are forced to use milder language and bland talking points. Don't write an email or say over the smartphone: “We want to beat our competitors!” Otherwise, managers may end up in court or—even worse—go to jail. In contrast, non-US firms often use war-like language: Komatsu

is famous for “Encircling Caterpillar!” and Honda for “Annihilate, crush, and destroy Yamaha!” Hiroshi Mikitani, the third-richest man in Japan and founder of Rakuten, the world’s third-largest e-commerce marketplace behind Amazon and eBay, makes no secret of his desire to beat Amazon’s founder Jeff Bezos. Mikitani has given his subordinates T-shirts emblazoned with the words “Destroy Amazon.” In comparison with such a laser-sharp focus embedded in such inspirational (and war-like) language, the inability to talk straight creates confusion among lower-level managers and employees in many US firms. Obviously, confused firms are not likely to be aggressive or successful.

Finally, US antitrust laws may be unfair because these laws discriminate *against* US firms. In 1983, if GM and Ford had proposed to jointly manufacture cars, antitrust officials would have turned them down, citing an (obvious!) intent to collude. The jargon is per se (in and of itself) violation of antitrust laws. Ironically, starting in 1983, GM was allowed to jointly make cars with Toyota. More than 30 years later, Toyota is the number-one automaker in the United States. The upshot? American antitrust laws have helped Toyota but not Ford or GM. One country’s (or region’s) antitrust laws may be used against other countries’ firms. For example, the EU antitrust authorities have been very harsh on US firms and Chinese trust-busters seem eager to punish (certain) foreign firms. While these actions provoked protests, they are at least understandable from a protectionist standpoint (see [Emerging Markets 11.2](#)). What is difficult to understand is the reason why US firms are sometimes discriminated against by their own government. The most recent case in point: In 2011, AT&T was forced to abandon its merger of T-Mobile, a wholly owned subsidiary of Deutsche Telekom (DT) and was forced to pay a US\$3 billion (!) breakup fee to T-Mobile. A US firm was thus forced by the US government to subsidize a foreign firm, which did not even want to compete in the United States anymore.

Emerging Markets 11.2

From Trade Wars to Antitrust Wars

In the 21st century, traditional trade wars are often threatened but seldom fought. However, a new style of trade wars centered on protectionism is on the rise. These new trade wars are increasingly known as antitrust wars, because antitrust policy, which historically focuses on domestic competition, can be used to score international points.

In 2001, the EU antitrust authorities vetoed the proposed merger of two US firms, GE and Honeywell. In 2009, the EU fined Intel a record US\$1.45 billion for alleged anticompetitive conduct against its smaller US rival, AMD. In 2004, the EU fined Microsoft US\$660 million for bundling its own Media Player with Windows and thus excluding market access for RealNetworks, a US-based rival. In 2009, the EU prosecuted Microsoft again for tying Windows with its own Web browser, Internet Explorer, and stifling competition from other browsers—exactly the same alleged crime pursued by US authorities a decade ago. The only viable US competitor from the earlier US case against Microsoft, Netscape, had essentially vanished by 2009,

accounting for fewer than 1% of browsers usage. This time, the EU case was triggered by a complaint from Opera Software, an Oslo, Norway-based browser maker. In comparison with Explorer's 86% global browser market share in 1999, in 2009 Microsoft's dominance was weakened. In 2009, Explorer only had 68% of the global market, and its nearest competitor, Firefox (developed by US-based Mozilla), enjoyed 20%. In Europe, Microsoft was even weaker, with Explorer accounting for only 60% of the market, followed by Opera's 5% and Firefox's 3%. In 2013, the EU slapped an additional US\$732 million fine on Microsoft for lapsing in its commitment to offer consumers a choice of Internet browsers. Overall, the EU antitrust authorities appear to more vigorously pursue leading US firms, suggesting a potential protectionist undertone.

Not to be outdone, the fledgling Chinese antitrust authorities entered the fray by starting to enforce China's new Anti-Monopoly Law, which took effect in 2008. Mergers of firms not headquartered in China, as long as their combined China turnover reached US\$120 million in the previous year, had to be cleared by Chinese authorities. For example, the merger between the Belgium-based InBev and the US-based Anheuser-Busch was approved by Chinese authorities, subject to some conditions. Sometimes Chinese antitrust regulators imposed *higher* pro-competition standards than their US and EU colleagues. In 2014, when three of the largest shipping companies—Maersk of Denmark, CMA CGM of France, and Mediterranean Shipping Company (MSC) of Switzerland—proposed to have an alliance called the P3 Alliance, neither US nor EU antitrust authorities would intervene. But the Chinese torpedoed the deal, citing an unhealthy concentration of one-third of global traffic and one-half of all container trade between Asia and Europe in the hands of P3.

Within China, the increasingly assertive Chinese trust-busters routinely round up foreign firms, extract fines, and force price reductions in the name of fostering competition and protecting consumers. The list of prosecuted firms reads like an impressive set of global heavy weights: cars (Fiat Chrysler and Volkswagen), infant formula (Abbott Laboratories, Danone, and Mead Johnson), semiconductor chips (Qualcomm), and software (Microsoft). China's new antitrust activism has attracted a great deal of controversies and protests. Perhaps the Chinese government is targeting foreign firms. Chinese regulators have denied such discriminatory targeting. Many domestic cases are also pursued but have been settled quietly. The media has a tendency to feast on foreign firms being prosecuted. Or perhaps the Chinese are targeting *certain* foreign firms. For example, in one 2014 case ten Japanese auto parts suppliers were found to hold illegal meetings to fix prices. Eight of them (Aisan, Denso, Furukawa, JTEK, Mitsubishi Electric, NSK, NTN, and Sumitomo Electric) were hit with a record US\$200 million combined fine (two were not fined because they came forward to offer important evidence). This took place during a time when diplomatic tension between China and Japan was high. Again, denying such motives, Chinese trust-busters pointed out that some of the same

Japanese firms were recently found guilty by their trust-busting colleagues in the US, the EU, and Japan itself.

Antitrust wars have now become a part of institution-based competitive dynamics using favorable rules of the game to undermine certain foreign firms' competitive advantage. Is it surprising that after Huawei was labeled a "national security threat" by the US Congress, Apple was announced to be a "national security threat" by the China Central Television due to the iPhone's location-tracking app? As the threat of trade wars goes down, concerned policy makers, managers, and students need to arm themselves with the necessary knowledge, expertise, and steel stomach to deal with the nasty but inevitable institution-based wars.

Sources: Based on (1) *Bloomberg Businessweek*, 2014, *Foreign companies cry foul at Chinese probes*, September 22: 24; (2) J. Clougherty, 2005, *Antitrust holdup source, cross-national institutional variation, and corporate political strategy implications for domestic mergers in a global context*, *Strategic Management Journal*, 26: 769–790; (3) *Economist*, 2013, *The wrong browsers*, March 9: 7; (4) *Economist*, 2013, *Microsoft's antitrust fine*, March 9: 66; (5) *Economist*, 2014, *Boring can still be bad*, March 29: 16; (6) *Economist*, 2014, *Just one more fix*, March 29: 67–70; (7) *Economist*, 2014, *Scattering the fleet*, June 21: 64; (8) *Economist*, 2014, *Trust-busting in China*, August 23: 62–63; (9) *Wall Street Journal*, 2009, *EU hits Microsoft with new antitrust charges*, January 17; (10) *Wall Street Journal*, 2014, *China fines Japan auto-parts makers US\$200 million*, August 20: online.wsj.com.